The biggest wave of Dutch pension reform is still to come, with more than €900bn in assets set to transition in 2027. Yet we expect the immediate market impact to remain limited. Healthy funding ratios should contain large-scale hedge unwinds, while the more lasting consequence will be more frequent swap rebalancing as hedging becomes tied to asset prices


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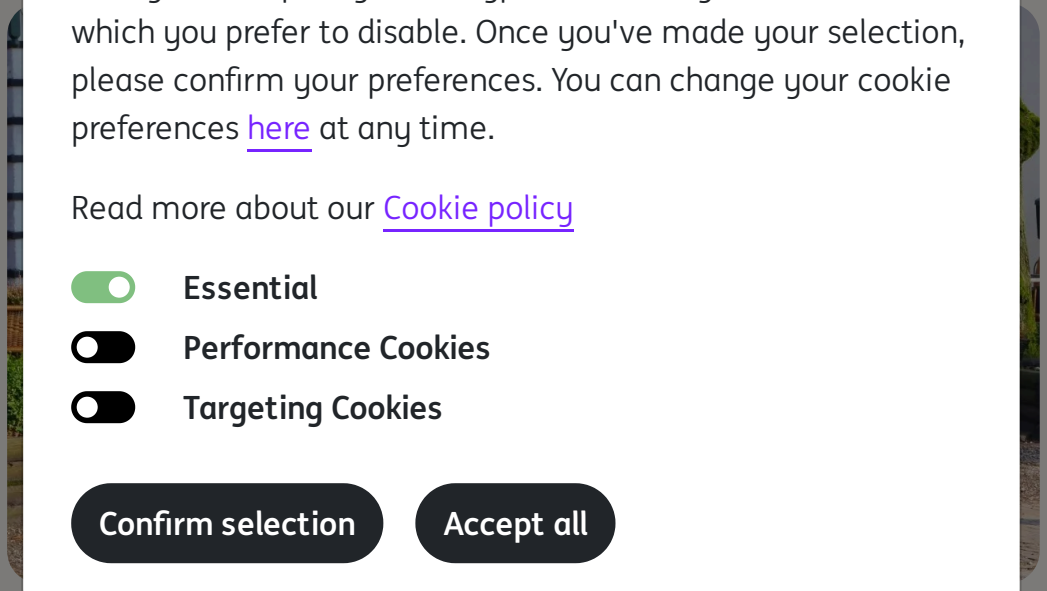
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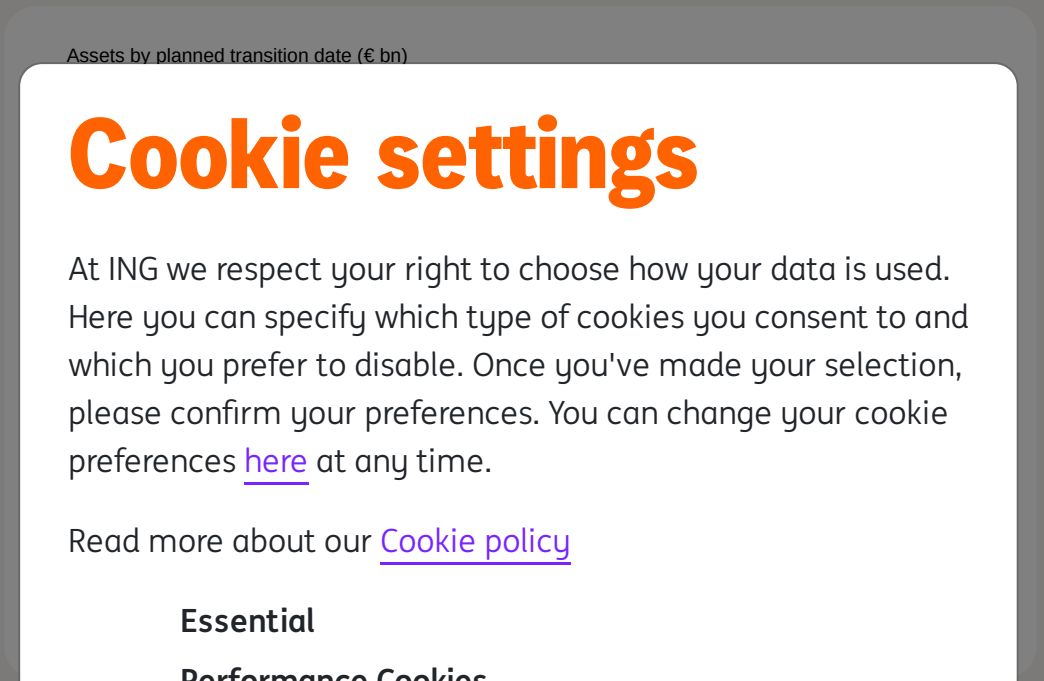



We should see the peak of Dutch pension reforms in January 2027, with the steepening impact for long-dated rates limited by global market conditions

## The biggest wave of Dutch pension fund transitions is still ahead of us

Dutch pension funds hold over €1.5tr in assets, and ongoing regulatory reforms are leaving a material mark on global markets. In essence, the reforms move Dutch pensions from a defined benefit framework to a more defined contribution-like setup. Around €600bn of assets have already transitioned in 2026, and for 2027 we brace for another €900bn.

## January 2027 marks the last major transition date





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participants, this hedging ratio increases to 75%. In effect, this means demand for interest rate hedges at very long maturities, i.e. 25 years and beyond, will be relatively small. Participants in (or close to) retirement will, however, still demand fixed income products, often even more than under the old system. But the maturities for hedging these cash flows are much shorter.

## Market impact overruled by macro drivers

A steeper 10s30s curve is the natural consequence of these reforms, but the impact is secondary to the broader macro landscape and will thus need time to materialise. We think the

Dutch pension reforms contributed some 20bp to the 10s30s steepening in 2025, but part of this was also linked to speculative flows from other financial players.

In 2026, we have not observed the same steepening pressures, and instead the flattening of the 10s30s curves was mostly driven by a hawkish repricing of the European Central Bank and the Federal Reserve. Structurally, we still see scope for a significant steepening in the 10s30s, as changing demand from Dutch pension funds also plays a role. But for this move to materialise, markets first need to gain more confidence about the inflation outlook, pulling the front end lower.

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January, helped by healthy funding ratios. Record-high equity prices and higher swap rates result in funding ratios well above the 105% threshold. ABP's funding ratio is even above 130%. Upon transitioning, asset prices become a direct determinant of hedging needs. In effect, higher equity prices therefore mean less need to unwind interest rate hedges. We also know that many pension funds transitioning in January 2026 had already completed their hedging in the months before, limiting the market impact at the start of the year.

## Pension funds will be forced to rebalance hedges more frequently

The shift from liabilities to assets as the basis for hedges also forces more frequent rebalancing. Liabilities under the old system were relatively stable since these were promised payments in the future. Liabilities were only reviewed once a year for inflation indexation purposes. In the new system, the liabilities are a direct function of the fund's total assets, which are volatile by nature and move up and down alongside global financial markets.

When equities rise in value, pension funds will have to increase i

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